

You are approaching retirement. As you approach your big retirement goal, it's typically recommended that you get more conservative with your investments so that if the market goes through a decline, your portfolio and in turn your life plans are not heavily impacted.

A COMMON RULE OF THUMB: 100 MINUS YOUR AGE

A pretty common rule of thumb and basic investing principle when it comes to keeping your portfolio balanced that I mentioned earlier is the rule of *100 minus your age*. This guideline essentially helps you to reduce your investment risk as you get older. It works by helping you determine how much you should consider keeping in stocks (including funds) versus how much you should keep in bonds. Going back to the example I used in the previous chapter, if you are 30 years old, then 100 minus your age equals 70. So according to the rule, you should keep 70% of your investments in equities and the other 30% in bonds.

However, if you have a high risk tolerance or lots of time to invest, you can modify this rule to be 110 or 120 minus your age. Basically, this modification means you will have even more money invested in stocks and more of an aggressive portfolio, which could mean larger returns (albeit higher risks). With a more aggressive portfolio and with time on your side, you are better able to weather market declines, as a lengthier investing timeline means more time for the market (and your portfolio) to recover. Again, using the idea of 100 minus your age to make investment decisions is just a general guideline and not gospel. As you make your investment decisions, you always want to consider your own personal objectives, your investing timeline, and your risk tolerance.

HOW OFTEN SHOULD YOU REBALANCE YOUR PORTFOLIO?

So how often is too often when it comes to rebalancing your portfolio? A good baseline is to review your asset allocations and rebalance your